

Lemonade

Team Identifier: FY07

American's most loved homeowner's insurance – 92% satisfied

Executive Summary

Situation

1

Lemonade has structural efficient advantage compared to the traditional insurance firms, but its lasting is uncertain.

High growth rate, AI-driven insurance model, but it is still unprofitable.

2

Facing large market opportunity, but with competitive risk.

3

Lemonade

Question

“

Should the institutional investors increase their ownership, decrease investment, or hold steady?

”

ICY Analysis



H
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D

Impact of Adj EBITDA end 2026

5M

Bear

15M

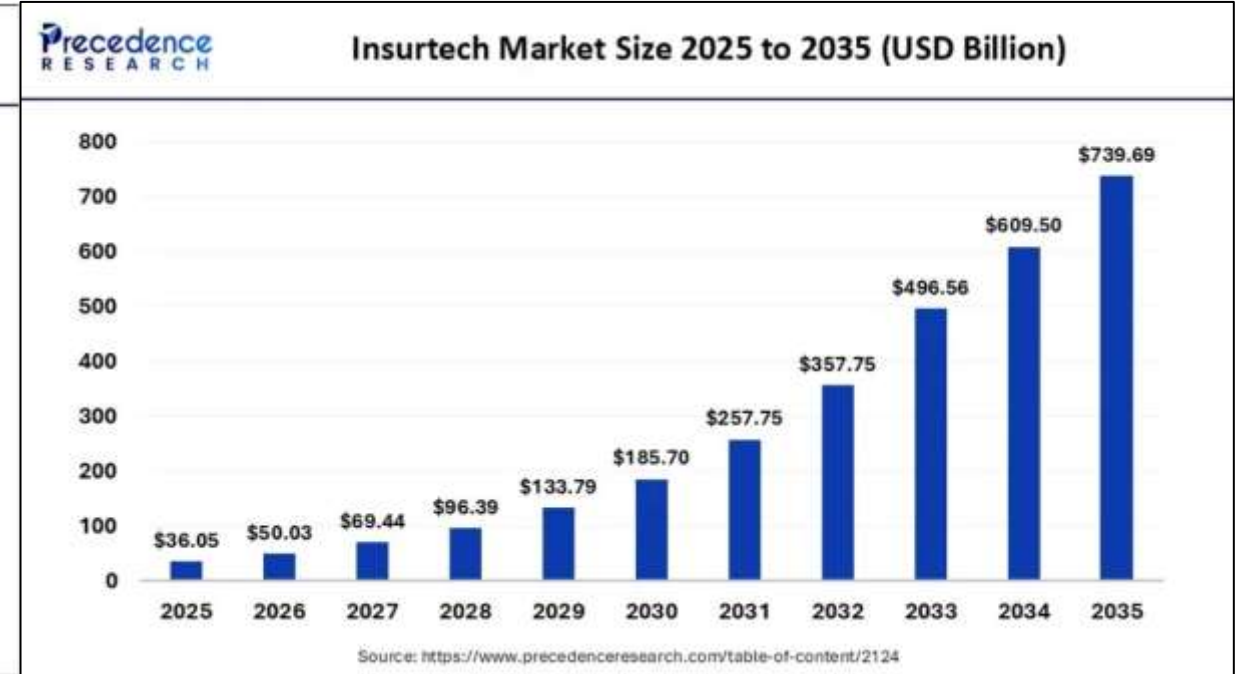
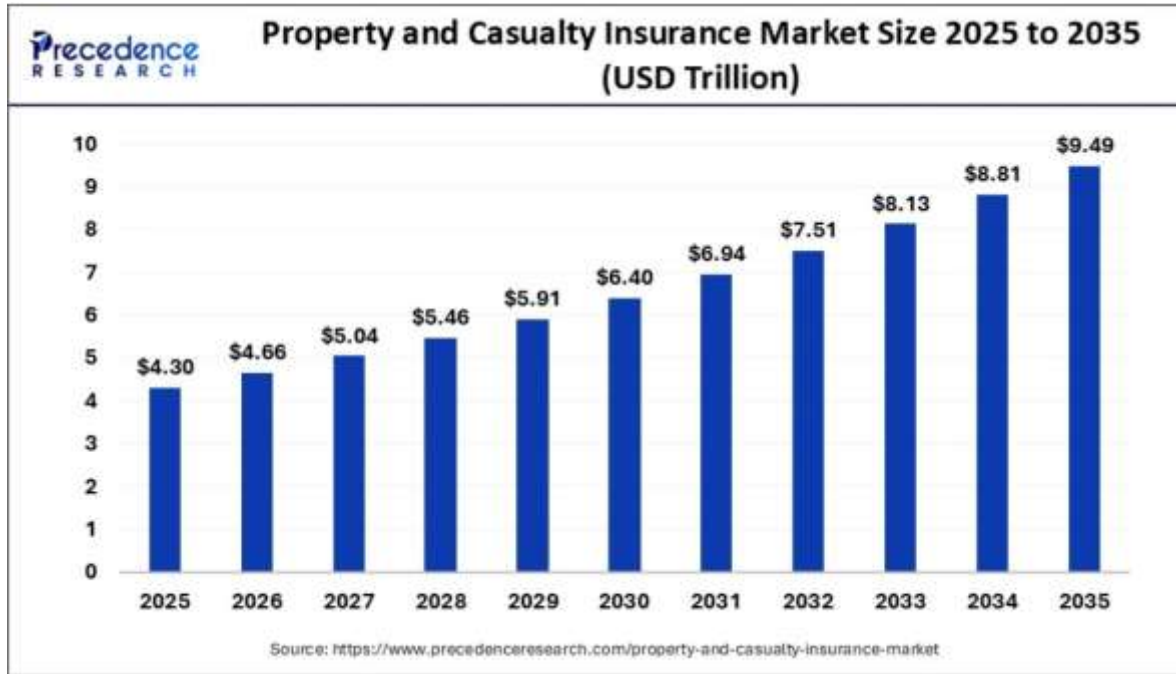
Base

25M

Bull

Growth drivers remain, but industry structure still present challenges.

Industry Overview



- Insurance is large but *competitive*.
- Insurtech growth *does not guaranteed profitability*.
- AI is becoming the *industry standard*.

AI-native, direct-to-consumer insurer scaling rapidly but still in profitability transition phase.

Company Overview

Identity

- Headquartered in New York
- Founded in 2025
- Certified **Bcorp** Company
- Operated in the US, UK, Germany, the Netherlands and France.
- Customers: ~**3 million**



Business Model

- World's first open-sourced insurance policy called Policy 2.0
- **Direct-to-consumer (DTC)**
- **AI to run its entire operations:** onboarding, pricing, and claims
- **Takes ~20% fixed fee from premiums, remaining 80% pays claims + expenses**
- Surplus donated via “Giveback” model.

Insurance Line

Key: Pet, Auto

Other:

- Renters
- Homeowners
- Life

Target Market

- Younger demographic (70% under 35)
- Tech-savvy, app-first users
- Low-cost, fast, transparent experience
- Delight customer with “Instant Everything” promise

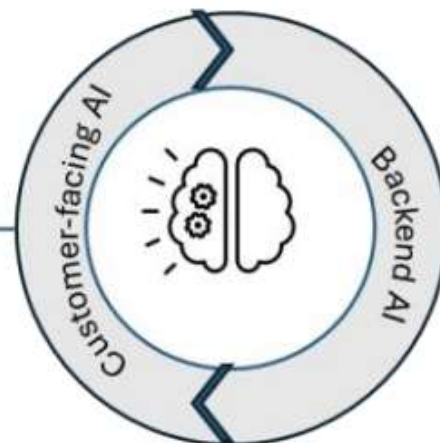
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Exhibit 2: Lemonade's central nervous system

AI Maya: An onboarding chatbot that uses NLP to guide customers through the policy purchasing process. AI Maya collects comprehensive data through a limited number of high-impact questions enabling personalized coverage and pricing, better customer segmentation and improved underwriting accuracy.

AI Jim: A claims bot that uses fraud detection algorithms, predictive analytics and computer vision to assess and process claims rapidly. About 55% of claims are automated. AI Jim triages and assigns claims it is not authorized to settle, or where it identifies concerns, to human experts.

CX.AI: A bot platform built to understand and resolve customer requests (pre- and post- purchase) without human intervention. Over half of Lemonade's customer inquiries are handled this way.



Forensic Graph: Forensic Graph utilizes the combined power of behavioral economics, big data, and AI to predict, deter, detect, and block fraud throughout the customer engagement.

Blender: A built-from-scratch core insurance management platform designed as a single, cohesive and streamlined tool for teams dealing with customer experience, underwriting, claims, growth, marketing, finance and risk.

Cooper: An internal AI process manager that handles both complex and repetitive tasks, from helping the customer experience team handle lengthy, manual processes such as processing paper checks to automatically running tens of thousands of tests on each release of software.

Source: Author representation, based on 2024 Annual Report

Lemonade's AI Systems

Customer-Facing AI

- **AI Maya**
- **AI Jim**
- **CX.AI**

Back-end AI

- **Forensic Graph**
 - **Blender**
 - **Cooper**



Lemonade is a fast-growing, AI-based insurer making progress on underwriting. The investment question is whether efficiency converts into durable profit.

SWOT Analysis

STRENGTHS

AI Integration improving loss ratio

Single, integrated proprietary data system
creates 2 competitive advantages:

automation & precision

- ➔ *Customers get 3-minute claims payout*
- ➔ *Increase customers' satisfaction, scalable model*

WEAKNESS

Persistent Net Loss

Net loss 2024 is \$202M, continues into 2025

- ROE: -33.9%
- ROA: -14.4%

-> *Profitability is unproven*

SWOT

THREATS

Incumbents with capital + AI

Big groups matched AI (AXA, Allianz, USAA, Travelers) but remaining capital strength and established trust

➔ *Moat Risk*

OPPORTUNITY

Auto = \$300B Market

Telematics in 96%

- Developing cross-selling
 - Data Advantages grow over time
 - Volatility in Lemonade creates opportunities to capture mispricing
- ➔ *Profitability accelerates*
- ➔ *Achieve positive EBITDA target (2026)*

Valuation reflects Recovery

Stock Overview

	LMND (\$)
Stock Price	57.31
52 Wk Range	24.31 - 99.90
Market Cap	4.28B
EPS	-2.37
Total Debt	121.75M
Total Cash	410.9M

Net cash position: \$289M

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- Stock fell 61% over 5 years
- Recent Recovery
- Stock price remains far below \$100 High

Underwriting is improving. Earnings still negative. Transition phase.

Financial Keys

	2025 (as of 30 June)	2024	2023	2022
Customers	2,693,107	2,430,056	2,026,918	1,807,548
In-force premium 	1,083.4	943.7	747.3	625.1
Annual dollar retention 	84%	86%	87%	86%
Total revenue	315.3	526.5	429.8	256.7
Total expense	419.3	730.4	659.6	551.5
Loss before income tax	(104.0)	(203.9)	(229.8)	(294.8)
Net loss 	(106.3)	(202.2)	(236.9)	(297.8)
Adj. EBITDA		(149.7)	(172.6)	(225.1)
Net loss ratio 	75%	75%	89%	97%
Net loss per share (basic and diluted)	(\$1.45)	(\$2.85)	(\$3.40)	(\$4.59)

The institutional investors should HOLD because upside and downside are symmetric.

Recommendations

I

Incremental Leverage is Surging,
but is not a safety net

C

Capital-Heavy Growth Persists strongly,
but Value Creation is unsure

Y

Yield-to-Risk Profiles are Symmetric, Not Skewed



Upside:

- EBITDA positive by 2026
- Loss ratio stays <75%

Downside:

- AI advantage narrows
- Marketing remains elevated

Need Patience because Operational Advantage exists but it is still uncertain.

1st thesis: **I** – Incremental Leverage is Surging, but Structural moats are Missing

Upside:
efficiency

Downside: AI
is not
exclusive

Customer get insured in
90 secs and receive
claims payouts in 3 mins

55% claims are
automated

IFP +50% while OpEx +
18% -> Scalable

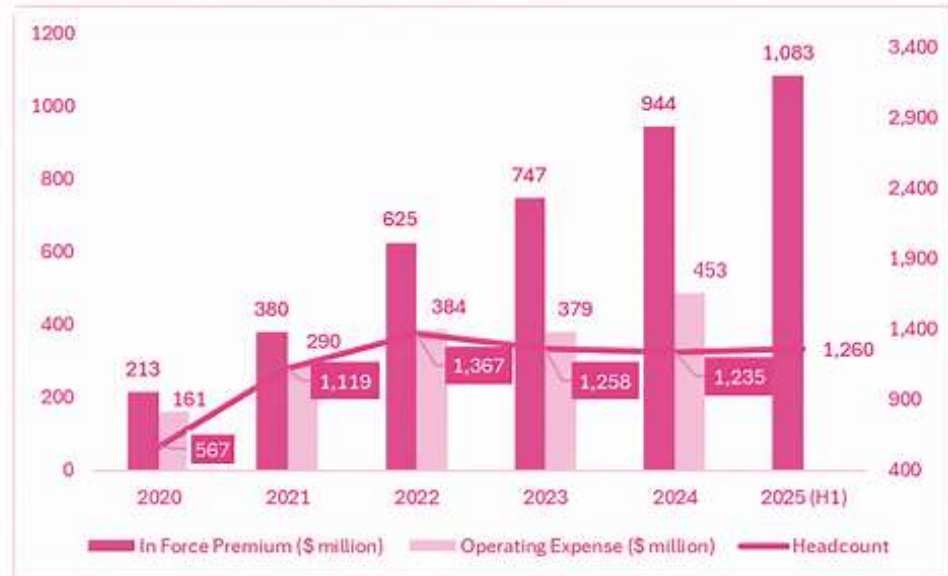
Competitors: Allianz,
AXA, and Travelers

76% of US insurers having
implemented generative AI in
at least one business function
as of 2024

Full AI adoption in
insurance leaped from 8%
in 2024 to 34% in 2025.

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Exhibit 3: Structural advantage enabling scalability

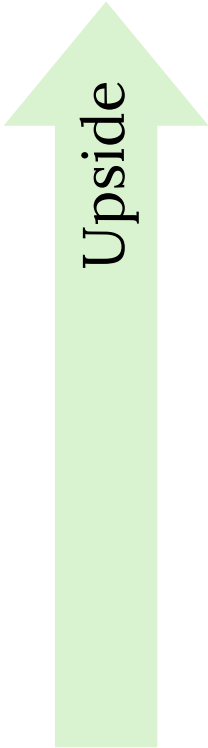


Note: Operating expense represents total expense less loss and loss adjustment expense, net.

Company	Year	Revenue	Operating earnings	EPS
1. AXA, France	1946	€110 bn P&C €56.5 bn	€8.1 bn P&C €5.5 bn	ROE 15.2%
2. Allianz, Germany	1890	€179.8 bn P&C €82.9 bn	€16 bn P&C €7.9 bn	€25.42 ROE 16.9%
3. USAA, US	1922	\$48.5 bn	\$3.9 bn (net)	-
4. Intact Financial, Canada's largest P&C	1809	CA\$23.7 bn	CA\$3.3 bn	CA\$12.36 ROE 14.2%
5. Manulife, Canada	1887	-	\$7.2 bn	\$2.84 ROE 12.0%
6. Travelers, US	1864	\$46.4 bn	\$5.0 bn	ROE 19.2%
7. Liberty Mutual, US	1912	\$50.2 bn	\$5.9 bn	-
8. MassMutual, US	1851	\$41 bn	\$2.8 bn	-
9. MunichRe, Germany	1880	€60.8 bn	€7.9 bn	€ 42.78 ROE 18.2%
10. Aviva, UK's largest life insurer	1696	£12.20 bn Gross written premiums	£1.8 bn	23.6 p ROE 15.6%

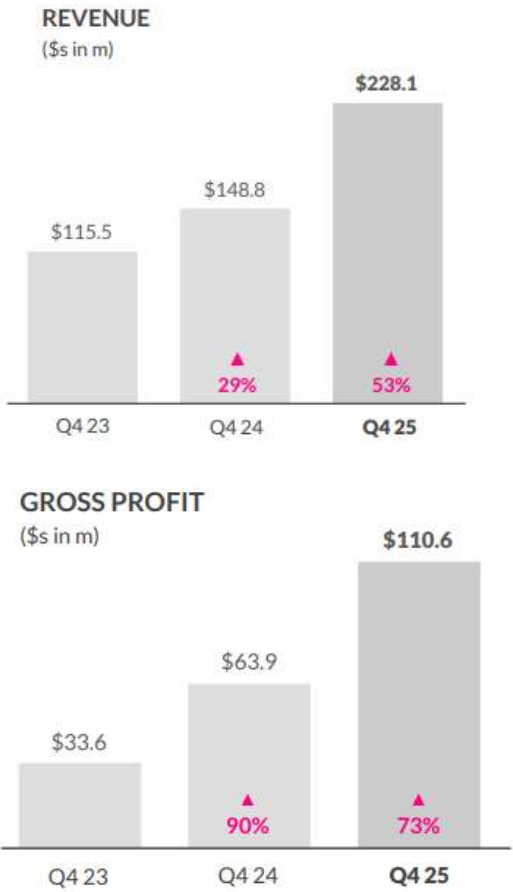
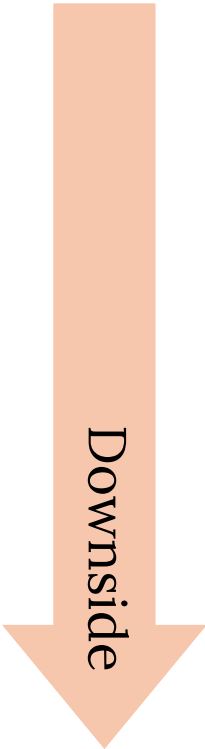
Growth narrative is compelling, but until earnings inflect, increasing ownership is unsafe.

2nd thesis: **C** - Capital-Heavy Growth Persists While Value Capture Remains Unproven



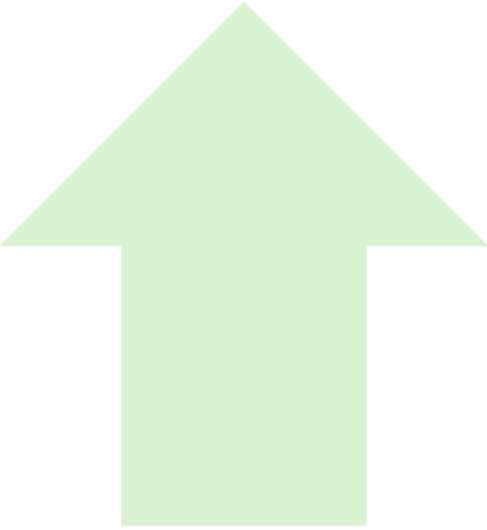
- 3M customers, increased 23% YoY (Q4 2025)
- In-force premiums hit \$1.24B grew 31% YoY
- Revenue increased 53% YoY, while Gross Profit grew 73%

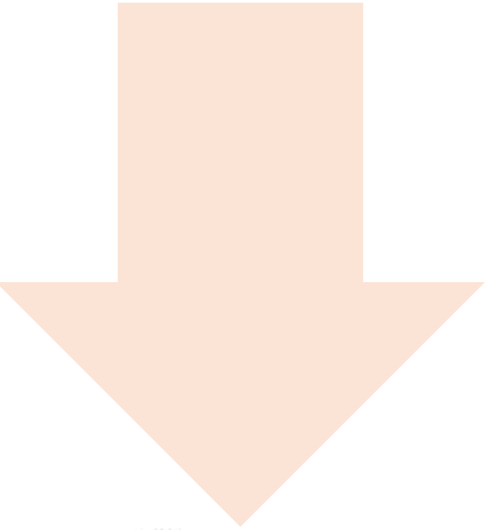
- Net loss 2024: (\$202M)
- Marketing: +63% YoY
- Scaling requires regulatory capital



Current valuation reflects recovery optimism but not dominance.

3rd thesis: **Y** - Yield-to-Risk Profiles are Symmetric, Not Skewed

- 
- **Adj. EBITDA loss improved 81% to (\$5M) in the fourth quarter**
 - **Cash Flow: generated \$37M adj. FCF**
 - **Average 86% dollar retention rate**
 - Young demographic
 - > Future cross-sell potential
 - **CAC:LTV (3x): efficiency**

- 
- **CAC remains high**
 - **AI Advantage narrows**

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ADJUSTED FREE CASH FLOW¹

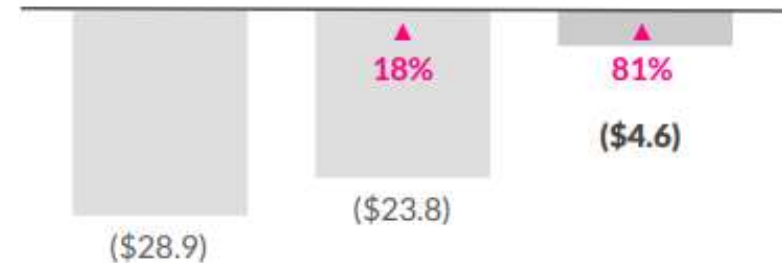
(\$s in m)

● ADJUSTED FREE CASH FLOW ● CASH FLOW FROM OPERATING ACTIVITIES



ADJUSTED EBITDA³

(\$s in m)



Current valuation reflects recovery optimism but not dominance.

3rd thesis: **Y** – Yield-to-Risk Profiles are Symmetric, Not Skewed

- Lemonade is a high-beta, high-optionality asset
- Lemonade is the only AI-first insurer a scale. Unlike other indexes that use AI, Lemonade is built on AI
- Lemonade is one of the few companies with a credible path to taking share, not just maintaining it
- Holding Lemonade gives investors exposure to a potential re-rating that index cannot match

Performance of Lemonade’s cumulative total shareholder returns (\$)

	2 July 2020	31 Dec. 2020	31 Dec. 2021	31 Dec. 2022	31 Dec. 2023	31 Dec. 2024
Lemonade Inc.	100.00	422.41	145.21	47.17	56.62	126.48
Nasdaq Composite Index	100.00	123.78	153.27	102.54	147.06	189.18
Nasdaq Insurance Index	100.00	123.27	140.90	143.68	155.54	193.05

The figures assume that \$100 was invested on 2 July 2020, and the reinvestment of dividends, if any.

Source: Author, compiled from annual reports



In base case, valuation appears fairly priced.

Recommendations Conclusion

Metric	Projected for end of 2026	Direction
Revenue Growth	40% - 50% - 60%	Strong
Net loss	-6M - 20M - 50M	Weak but improving
Customers	3.1 M - 3.3M - 3.5M	Improving
Adj EBITDA	5M - 15M - 25M	Improving
Marketing Expense	10% - 20%	Increase

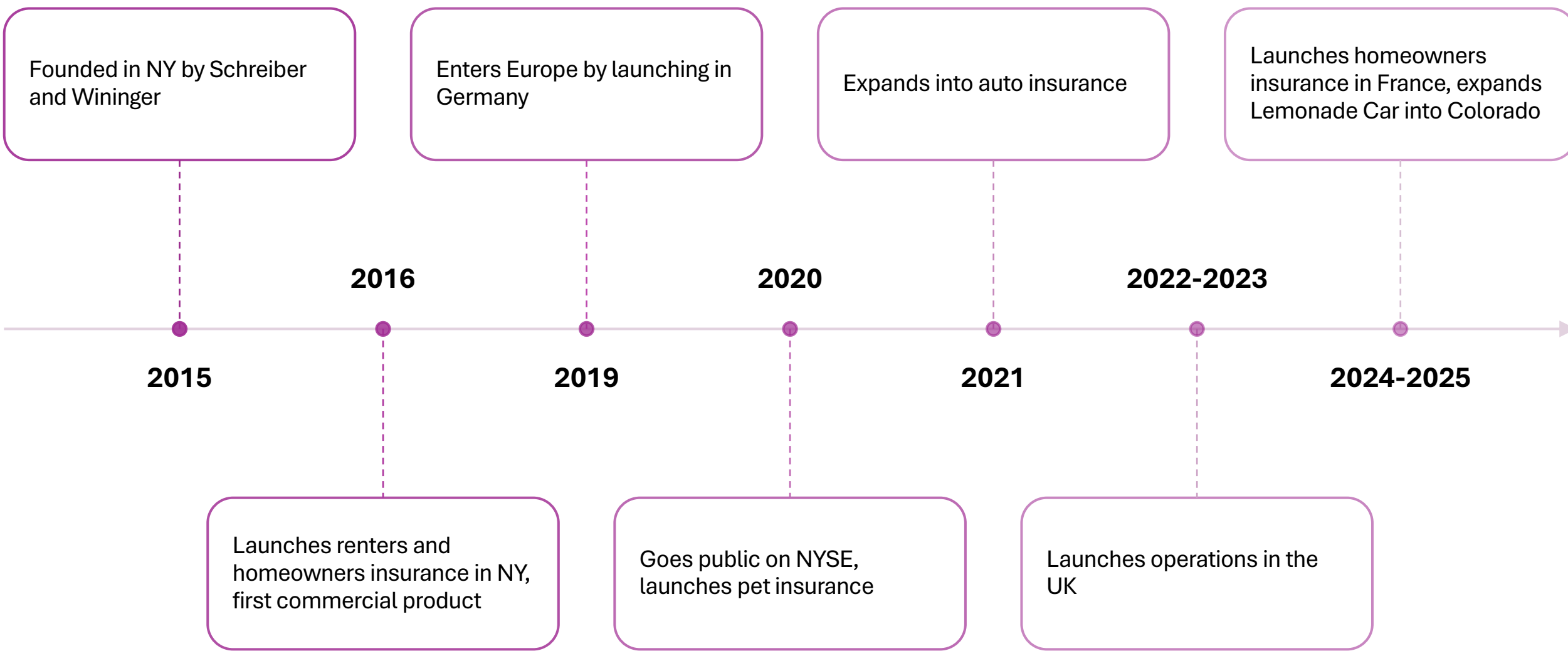


HOLD

➔ *Consider: Loss ratio improvement, CAC efficiency (real ROI), EBITDA trajectory*

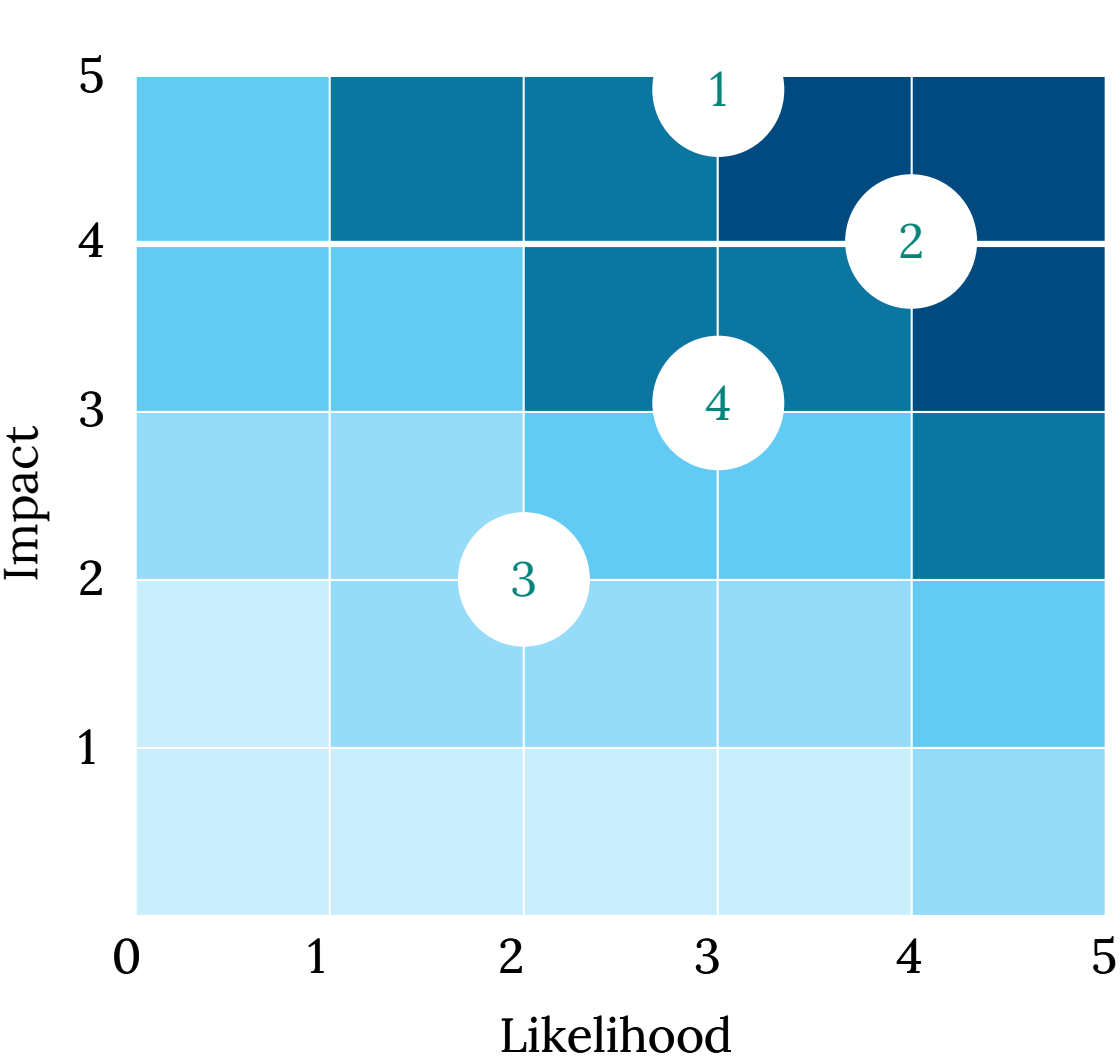
Expansion reflects a deliberate strategy for geographic growth

Company's Expansion Plan - Timeline



Holding Lemonade balances growth potential with risks in profitability, volatility, execution, and opportunity cost

Risks of holding – Trade-offs



Risk

- 1 Profitability
Timing Risk
- 2 Volatility vs Stability
- 3 Execution Risk vs
proven model
- 4 Opportunity cost

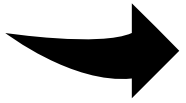
Exhibit 5: Top 10 Incumbents on the Evident AI Insurance Index 2025

Partitioned across 4 pillars of AI capability according to: (1) talent – AI & data employees, (2) innovation – (research, patents, venturesystem, (3) leadership – in public communication's and strategy, (4) transparency – of responsible AI activities.

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Source: Compiled by author based on <http://www.evidentins.com/insurance-ai-index/>

Enjoy a nice glass of



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Thank You so much! We appreciate your time and consideration. We hope we offered some helpful insight.

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Appendix

OPERATING EXPENSE¹

(\$s in m)



NET LOSS

(\$s in m)



ADJUSTED EBITDA³

(\$s in m)

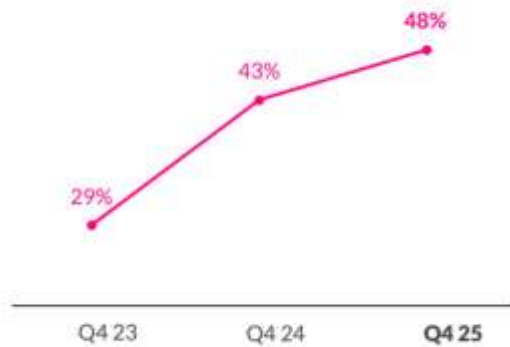


GROSS PROFIT

(\$s in m)

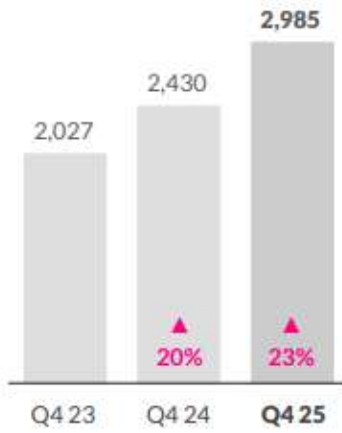


GROSS PROFIT MARGIN

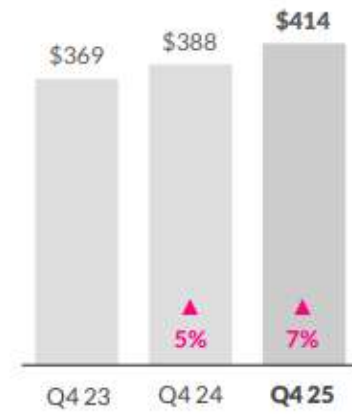


	Q4 24	Q1 25	Q2 25	Q3 25	Q4 25
LOSS RATIOS					
Gross loss ratio	63%	78%	67%	62%	52%
Gross loss ratio ex-CAT	62%	59%	60%	56%	51%
TTM gross loss ratio	73%	73%	70%	67%	64%
Net loss ratio	62%	82%	69%	64%	53%
GROSS LOSS RATIO BREAKDOWN					
Attritional gross loss ratio	59%	59%	58%	56%	54%
CAT (excl. PPD)	1%	19%	5%	4%	1%
LAE (excl. PPD)	8%	8%	7%	7%	6%
Prior period development (PPD)	(5%)	(8%)	(3%)	(5%)	(9%)
Gross loss ratio	63%	78%	67%	62%	52%
GROSS LOSS RATIO - PPD BREAKDOWN					
CAT PPD	—%	—%	2%	2%	—%
Non-CAT PPD	(5%)	(8%)	(5%)	(7%)	(9%)
PPD impact on gross loss ratio	(5%)	(8%)	(3%)	(5%)	(9%)
GROSS LOSS RATIO BY TYPE					
Homeowners multi-peril	55%	82%	60%	51%	39%
Pet	69%	68%	70%	69%	71%
Car ¹	83%	88%	82%	76%	40%
Europe (all products)	75%	91%	83%	70%	64%
IFP BREAKDOWN (\$s in m)					
Homeowners multi-peril	\$503	\$513	\$523	\$531	\$530
Pet	\$283	\$314	\$350	\$394	\$439
Car	\$122	\$134	\$150	\$163	\$187
Europe	\$24	\$33	\$43	\$51	\$60
Other	\$12	\$14	\$17	\$19	\$21
Total	\$944	\$1,008	\$1,083	\$1,158	\$1,237
PREMIUM PER CUSTOMER					
Homeowners multi-peril	\$266	\$265	\$260	\$251	\$247
Pet	\$727	\$742	\$752	\$782	\$804
Car	\$1,800	\$1,853	\$1,895	\$1,964	\$2,021
Europe	\$129	\$147	\$168	\$176	\$184
Other	\$913	\$998	\$1,037	\$1,071	\$1,091
Premium per customer	\$388	\$396	\$402	\$403	\$414

CUSTOMERS
(in '000s)



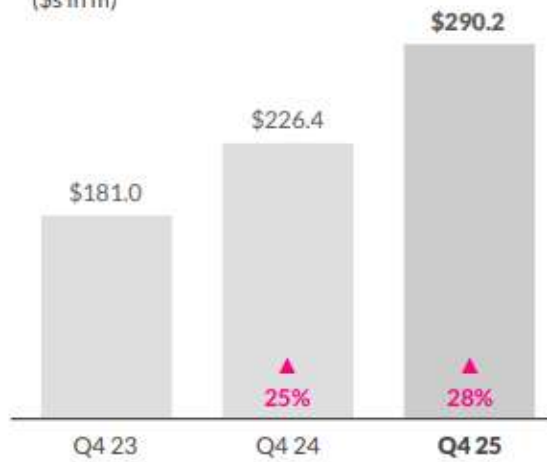
PREMIUM PER CUSTOMER



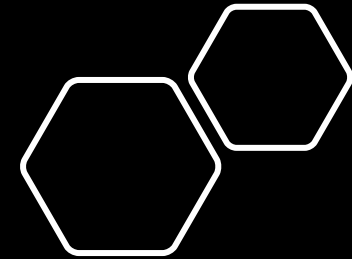
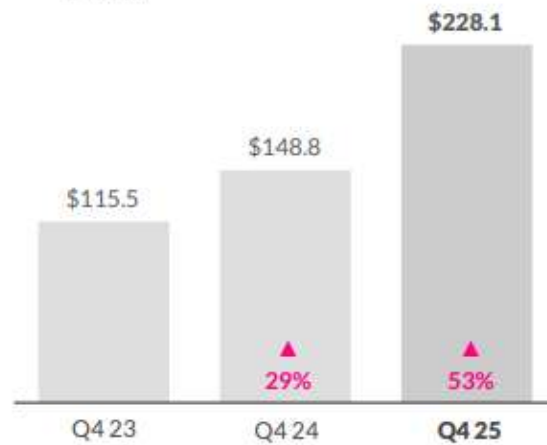
IN FORCE PREMIUM
(\$s in m)



GROSS EARNED PREMIUM ("GEP")
(\$s in m)

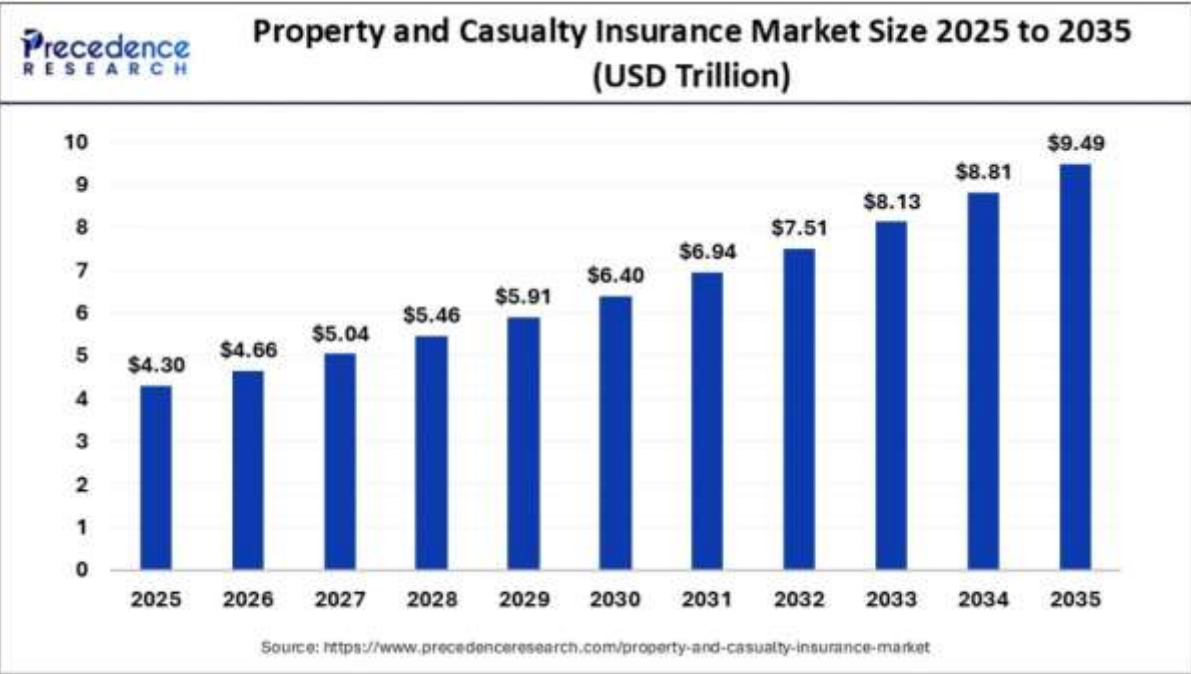


REVENUE
(\$s in m)



The Insurtech market is continuously growing due to automation adoption and shifting customer expectations.

Industry Overview



- The global Insurtech market size is **valued at 50.03 billion USD** in 2026 and is predicted to attain nearly **739.69 billion USD** by 2035.
- The **CAGR** is expected to grow strongly at a **rate of 35.27%** from 2026 to 2035.

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- The global P&C insurance market size is **valued at USD 4.30 trillion** in 2025 and is predicted to **increase** from USD 4.66 trillion in 2026 to approximately USD 9.49 trillion by 2035.
- The **CAGR** is expected to grow at a **rate of 8.24%** from 2026 to 2035.

